

What PhDs Get Wrong About Taxes



Tax season hits different when you're a PhD student.

You've got fellowship payments that **look** like salary but might be taxed differently. Your institution says one thing, your advisor says another, and the internet offers contradictory advice from 2014. You're staring at a 1098-T form wondering why it doesn't match your actual bank account, and somewhere in the back of your mind is the quiet fear that you're going to accidentally commit tax fraud by just trying to do your taxes correctly.

Here's the thing: you're not confused because you're bad at this. You're confused because PhD income is genuinely complex, and the standard tax guidance wasn't written for your situation. Fellowships, assistantships, grants, and wages all have different rules. Form 1098-T and Form W-2 mean different things and serve different purposes. The line between "educational benefit" and "taxable income" shifts depending on what you're being paid for.

This guide exists because someone should have handed you a clear answer two months ago. What follows is the walkthrough you actually need: no lectures, no condescension, just the specific steps for PhD tax filing that the IRS never bothered to explain.

Over the next four sections, you'll build a complete picture of your tax situation—starting with identifying every dollar you received, then learning how to handle fellowship income correctly, filing

employment income without surprises, and finally handling the special situations that apply to some PhDs but not others. By the end, you'll have a completed income classification worksheet, a clear understanding of which forms go where, and a realistic plan for filing that doesn't involve panic at 11pm on April 14th.

Let's get into it.



Part I: Know What You're Being Paid For

Before you can file correctly, you need to understand the taxonomy of PhD income. This isn't academic—it's practical. The same dollar from two different sources might be taxed completely differently, and how it hits your 1098-T versus your W-2 changes everything about how you report it.

Chapter 1: Classify Every Dollar You Received

Here's a fact that surprises most first-years: your tax obligations aren't determined by how much you earned, but by what you earned it for. A \$30,000 stipend and a \$30,000 salary sound identical on paper, but they have completely different tax treatment. Your first task is building a complete inventory of every payment you received last year—and categorizing it by source type.

Step 1: Pull your full banking history for the calendar year.

This means every deposit from January 1 through December 31, regardless of source. If your institution pays you through multiple systems (which many do), you might have deposits appearing in different places. Don't assume you remember all your income—download the actual transaction history.

Step 2: Group every deposit by source.

As you review your transactions, sort them into these five categories:

- **Fellowship payments:** Direct payments to you for being a graduate student, with no work requirement attached (or where the work requirement is secondary to the educational purpose). These often come from your graduate school, a donor-funded program, or a scholarship award.
- **Stipend advances:** Front-loaded payments for living expenses, often disbursed before work begins. These may or may not be tied to future service requirements.
- **Research assistantship (RA) wages:** Payments for work on a specific research project or grant. The work is the primary purpose; the education component may be incidental.
- **Teaching assistantship (TA) wages:** Payments for instructional or grading work. Like RA wages, these are compensation for services rendered.
- **Grant funds:** Money from a specific external award that pays you as a research employee, often under a separate payroll system. Your university payroll office may list the sponsor, not the university, as your employer on the W-2.

Step 3: For each category, note the dollar amount and the source.

Don't worry about getting the tax treatment exactly right yet—that comes in Part II. Your job in this step is simply to account for every dollar with a source label.

Actionable step: Open a spreadsheet. Create columns for: Date, Amount, Source Name, Source Type (from the five categories above), and Form Expected (W-2, 1098-T, other, or not sure). Fill in every deposit you can find. Leave the last column blank where you're uncertain—you're building a working document.

Output: A filled-out income classification worksheet with specific dollar amounts and source labels for every payment you received.

Chapter 2: Decode Your 1098-T (It's Not What You Think)

Your 1098-T arrived in your email or your student portal, and it's been sitting there like a puzzle you don't know how to solve. Let's clear something up right now: **the 1098-T is not a record of money you received.** It is a record of payments made to your institution on your behalf, and expenses the institution incurred for you. It's a form about your tuition and fees, not about your income.

Here's what each box actually means:

Box 1: Payments received for qualified tuition and related expenses

This is the total of any payments your institution received from you or on your behalf during the calendar year. If your fellowship or stipend paid your tuition directly, that payment shows up here. If you paid tuition out of pocket, that shows up here too. This number includes scholarships and grants that went directly to tuition.

Box 2: Amounts billed for qualified tuition and related expenses

Some institutions report amounts billed rather than amounts received. If your institution uses Box 2 instead of Box 1, the number represents what was charged to your account, not what was paid. This is why Box 1 and Box 2 can differ significantly from your actual bank deposits.

Box 5: Scholarships and grants

This is the number most people want to read as "income," but it's not that simple. This box shows all scholarships, grants, and fellowships that were administered through the institution and applied to your student account—regardless of whether they're taxable. It does not distinguish between taxable and non-taxable awards.

What the 1098-T doesn't tell you:

It doesn't tell you what landed in your bank account. It doesn't tell you whether your fellowship is taxable or tax-free. It doesn't tell you how much of your "scholarship" was actually compensation for services. And it certainly doesn't tell you what to put on your tax return.

The 1098-T exists to help you determine whether you're eligible for education credits (the American Opportunity Credit or Lifetime Learning Credit) and to report scholarship and fellowship income on your return. That's it. If you're trying to use it as a proxy for your income, you're working with the wrong tool.

Actionable step: Locate your 1098-T in your student portal or email. Print it or open it on screen. Identify which boxes are filled in (Box 1 or Box 2, and Box 5). Compare the Box 5 amount to your total income from Part I, Chapter 1. Note any significant discrepancies—this is a flag that you'll need to investigate further in Part II.

Output: A 1098-T interpretation cheat sheet with your specific numbers entered.



Chapter 3: Find Your W-2 (If You Have One)

Not everyone in a PhD program has a W-2. Whether you do depends on the nature of your funding. If you're funded entirely by a fellowship that goes to tuition and living expenses without a work component, you might not receive a W-2 at all. If you're an RA, TA, or working on a grant, you almost certainly have one.

Your W-2 reports wages earned from employment. It does not report fellowships or scholarships. If you both received a fellowship and worked as an assistant, you may receive a W-2 for the employment portion and handle the fellowship separately.

Step 1: Determine whether to expect a W-2.

Ask yourself these questions:

- Did I work as a research assistant, teaching assistant, or on a grant this calendar year?

- Did my institution pay me for services (grading, proctoring, research time)?
- Did I receive a paycheck with taxes withheld?

If you answered yes to any of these, you should have a W-2.

Step 2: Locate your W-2 in your institution's payroll system.

Most universities use a payroll platform like Workday, Banner, SAP SuccessFactors, or a custom system. The W-2 is usually found under:

- "Payroll" or "Employee Self-Service"
- "Tax Documents" or "W-2/Tax Forms"
- "Year-End Documents" or "Form W-2"

If you can't find it, contact your department's payroll coordinator or your institution's HR/payroll office. They can resend it or confirm that one wasn't generated.

Step 3: Identify who appears as the employer.

This is critical. Your W-2 will show one of the following as your employer:

- Your university (for GA/TA/RA positions funded through the institution)
- The name of a grant or contract sponsor (for work on external funding where the sponsor is technically your employer)
- A payroll service or trust that your institution uses

Knowing which employer appears matters because it determines where you look if you have questions, and because it affects how you interpret the wages reported.

Step 4: Cross-reference the wages on the W-2 against your bank deposits.

Your W-2 shows the wages earned in Box 1. Federal income tax withheld appears in Box 2. If the numbers don't match your records, flag this—you may have received a corrected W-2 (a W-2c) or you may be missing a document.

Actionable step: Log into your institution's payroll system. Navigate to your W-2. Save or print the PDF. Note the employer name, the wages in Box 1, and the federal tax withheld in Box 2. Compare these numbers to the employment income you recorded in Chapter 1. If there's a discrepancy greater than a few hundred dollars, contact your payroll office.

Output: A W-2 locator flowchart with your institution's specific system navigation, plus your W-2 on file.



Key Takeaway for Part I:

Before you do anything else, you need to know what you were paid for and where the paperwork is. Every dollar goes into one of five categories (fellowship, stipend, RA wage, TA wage, or grant), and you need at least one of your three key forms (1098-T, W-2, or your own records) for each category. Don't try to skip this step—everything downstream depends on it.



Part II: Fellowships Are Their Own Thing

Here's where PhD tax filing gets weird. Fellowships don't follow the same rules as wages, and the rules they do follow are more complicated than they need to be. This section walks you through

determining whether your fellowship is taxable, reporting it correctly, and handling the special Form 8843 if you're an international student.

Chapter 4: Determine If Your Fellowship Is Taxable

This is the question that trips up more PhD students than any other:
Is my fellowship taxable?

The IRS answer: it depends on whether the fellowship is "primarily for the benefit of the recipient" (tax-free) or "primarily compensation for services" (taxable).

That's an intentionally vague standard, and the IRS provides almost no real guidance for how to apply it. So let's make it practical.

The three factors that push a fellowship toward tax-free:

1. The award is for the purpose of pursuing education or research
2. The recipient is not required to perform services as a condition of receiving it
3. The services required (if any) are incidental and not the primary purpose of the award

The three factors that push a fellowship toward taxable:

1. The award is for past, present, or future services rendered
2. The recipient is required to work (teaching, research, etc.) to receive or keep the award
3. The educational purpose is secondary to compensating the recipient for labor

Here's how this plays out in practice:

Tax-free scenario: You're awarded a competitive fellowship (Ford Foundation, NSF GRFP, Fulbright, university dissertation fellowship) that pays you a stipend with no strings attached. You don't have to work. The money is yours to pursue your research. This is primarily for the benefit of the recipient → likely tax-free.

Taxable scenario: You're paid a stipend that explicitly requires you to work 20 hours per week as a research assistant. The fellowship is paid from a grant that funds your labor. The fact that you're a student is incidental to the fact that you're an employee. This is primarily compensation for services → likely taxable.

Gray area scenario: Your department offers a fellowship that includes a modest work requirement (8 hours per week of lab maintenance or peer mentoring). The work is related to your training, not a primary compensation for services. This is genuinely unclear, and the IRS wouldn't give you a straight answer either. In this case, document your reasoning, and if the work requirement is truly incidental, you have a defensible position for tax-free treatment.

Step 1: Find your award letter.

Pull out the official documentation for your fellowship. Look for language that describes:

- The purpose of the award (education? research? service?)
- Any conditions or requirements
- Whether services are required

Step 2: Answer the three questions above.

Write down whether the fellowship is primarily for your benefit or primarily compensation. Document the evidence from your award letter.

Step 3: Make your determination and move on.

You don't file a form to declare your fellowship tax-free. You simply don't include it as taxable income on your return. But you need to be confident in your reasoning because if the IRS ever audits you, you'll need to explain your position.

Actionable step: Locate your fellowship award letter. Read it with these questions in mind: (1) Is the language about education and research, or about employment and services? (2) Are there mandatory work requirements? (3) Does the award describe itself as compensation? Write your answers down. If the language

clearly favors one side or the other, note that. If it's genuinely ambiguous, note that too—you're building a paper trail of your reasoning.

Output: A fellowship taxability assessment with checklist and space for your award letter details.



Chapter 5: Report Fellowship Income on the Correct Forms

Once you've determined your fellowship is tax-free, you still need to know how to report it (or not report it) on your tax return. This is where many PhDs either over-report or under-report, and both can cause problems.

If your fellowship is tax-free:

You do not include it in your gross income. You don't put it on your 1040 at all. No Schedule 1, no special line. It simply isn't part of your taxable income.

However, you may still need to file Form 8843 (for international students—see Chapter 6) even if the fellowship is tax-free. More on that below.

If your fellowship is taxable:

You report it as other income on **Schedule 1 (Form 1040)**, line 8 ("Other income."). This is where it flows onto your return—not as wages (you'd use Schedule C for self-employment, but that's rare for PhDs), not as interest, just as other income.

Do not put fellowship income on the main 1040 form itself. It doesn't belong there. Schedule 1 is where you attach it, and then the line from Schedule 1 flows back to Form 1040.

The 1098-T connection:

Your institution's 1098-T shows the fellowship amount in Box 5 (Scholarships and Grants). This is the raw number before any taxable/non-taxable analysis. You cannot use the 1098-T alone to determine what to report—you have to apply the taxability test from Chapter 4 first.

If your fellowship is taxable, the amount from Box 5 (or the portion that applies to your taxable fellowship) goes onto Schedule 1, line 8.

Actionable step: Based on your assessment from Chapter 4, write down one of two answers: "Tax-free - no reporting required" or "Taxable - report on Schedule 1, line 8." If taxable, also note the dollar amount. This is your decision record for your return.

Output: A form-matching guide keyed to your specific fellowship type and taxability determination.



Chapter 6: Handle the 8843 Filing (International Students)

Form 8843 is one of the most misunderstood forms in PhD tax filing, and if you're on a student visa (F-1, J-1, etc.), you probably need to file it.

Here's what it is: **an informational form that establishes your non-resident status for tax purposes.** It does not report income. It does not create a tax liability. It's simply a statement that you're a non-resident alien present in the US primarily for educational purposes.

Who must file Form 8843:

- F-1, F-2, J-1, J-2 visa holders who are non-resident aliens for tax purposes
- Any non-resident alien who is claiming an exclusion for scholarships or fellowships under the "conditions of fellowship" test

- Any non-resident alien present in the US as a student, trainee, or researcher

When you must file it:

Even if your fellowship is tax-free and you owe no tax, you still file 8843 if you're a non-resident alien. The form is due by the regular tax deadline (April 15, or October 15 with an extension).

How to complete it:

Part I of the form asks for basic identification—name, visa type, passport info, school info. Part II asks about your activities in the US and whether you're claiming an exclusion.

If you're claiming the scholarship/fellowship exclusion (which most qualifying fellowships allow), you check the box and provide information about your fellowship. You do not calculate a tax or report dollar amounts on this form—it's purely informational.

Step 1: Confirm you're a non-resident alien for tax purposes.

Most F-1 and J-1 students are non-resident aliens under the substantial presence test or the exception for students. If you've been in the US for fewer than five calendar years as an F-1/J-1 student, you're almost certainly non-resident.

Step 2: Complete Part I of the 8843.

Enter your name exactly as it appears on your passport, your visa type, your SEVIS ID (if J-1), and your school information.

Step 3: Complete Part II.

Check the box for "Student" or "Trainee/Researcher" as applicable. If you're claiming the scholarship/fellowship exclusion, check that box and provide your fellowship details (grantor, amount, purpose). Sign and date the form.

Step 4: Attach to your 1040.

Form 8843 goes in with your other tax documents. It doesn't go on a specific line—it's just attached to the return.

Actionable step: Download Form 8843 from the IRS website (irs.gov/8843). Complete Part I and Part II using your visa information and fellowship details. Have your passport and I-20 or DS-2019 handy for reference. Sign it. Attach it to your tax documents for filing.

Output: A completed 8843 checklist with your specific entries.



Key Takeaway for Part II:

Fellowship taxability isn't determined by how it looks in your bank account—it's determined by whether the award is primarily for your education or primarily compensation for services. Tax-free fellowships don't go on your return at all; taxable ones go on Schedule 1, line 8. And if you're an international student, you likely need to file Form 8843 regardless of whether you owe any tax.



Part III: Employment Income Done Right

Teaching assistants, research assistants, and grant-funded researchers all receive W-2 wages. This section walks you through filing those wages correctly, handling multiple income sources, and claiming any deductions you're entitled to.

Chapter 7: File Your W-2 Income Without Surprises

Your W-2 tells you two key things: what you earned (Box 1, wages) and what federal income tax was withheld (Box 2). Those two numbers are the core of your employment tax filing.

Step 1: Transcribe your W-2 information accurately.

For your 1040, you need:

- **Box 1 (Wages):** This is your taxable wages. Enter this on line 1a of your 1040 (or on line 1z if it includes tips and other compensation).
- **Box 2 (Federal income tax withheld):** Enter this on line 25d of your 1040 (the withholding box). This is how much you'll get back (or owe less) when you file.
- **Box 3 (Social Security wages) and Box 4 (Social Security tax withheld):** These are separate from income tax. If you had two jobs, your combined Social Security wages might exceed the annual limit (\$168,600 for 2024), and you'd need to check if you overpaid Social Security tax.
- **Box 5 (Medicare wages) and Box 6 (Medicare tax withheld):** There's no wage limit for Medicare. If you had multiple jobs, you may have under-withheld Medicare tax and need to pay the additional 0.9% on Form 8959.

Step 2: Check for common W-2 errors.

Institutions sometimes make mistakes, especially with student employees who have unusual pay structures. Common issues:

- Wrong name or SSN (check that your Social Security number is correct!)
- Incorrect wages (particularly for employees who switched positions mid-year)
- Missing withholding (if you should have had taxes withheld but didn't)
- Dual W-2s (if you worked for both the university and a grant sponsor)

If you see an error, contact your payroll office immediately. You can file with an incorrect W-2 but you'll likely need to amend later—better to fix it first.

Step 3: Don't forget state and local taxes.

Your W-2 may also show state and local income tax withheld in Boxes 17 and 19. If you lived and worked in the same state, you'll need to file a state return in addition to your federal return. Some states have reciprocity agreements (meaning if you worked in one state but lived in another, you might not owe income tax to the work state). Look up your state's rules.

Actionable step: Pull your W-2. Transcribe the Box 1 amount and Box 2 amount to a note. If you had more than one W-2 (common if you had both a university assistantship and grant employment), add up all Box 1 amounts for your total wages. Add up all Box 2 amounts for your total federal withholding. Check these against your records.

Output: A completed W-2 data sheet with wages and withholding entered.

Chapter 8: Handle Multiple Income Streams Without Panicking

Most PhD students have more than one income source. You might have a fellowship and an assistantship. You might have been a TA in the fall and an RA in the spring. You might have received a small stipend from a one-time award.

Here's the good news: there's no special form for "PhD with complicated income." You simply file one 1040 that includes all your income, and each stream goes in its appropriate place.

When you have both W-2 wages and a fellowship:

- W-2 wages go on Form 1040, line 1z
- Taxable fellowship goes on Schedule 1, line 8
- Tax-free fellowship doesn't go anywhere

When you have two W-2s:

- Add both Box 1 amounts together for your total wages on line 1z
- Add both Box 2 amounts together for your total withholding on line 25d
- If the combined wages exceed \$200,000 (single filer), check if you under-withheld Medicare tax

When your funding changed mid-year:

This is common. If you started as a fellowship student, then became a TA in the spring, your tax situation changed mid-year. Your institution's payroll system should have issued one W-2 reflecting all your wages (if you stayed at the same institution). If you switched institutions, you might have two W-2s.

The filing is straightforward: add them together. The complexity is in your own records—make sure you know which income was which so you can answer questions about it later.

Actionable step: If you have multiple income sources, make a master list: Source, Type (fellowship/tax-free, fellowship/taxable, wages), Form Expected, Amount. Total each type. This becomes your reference sheet for building your return.



Chapter 9: Claim the Deductions You're Actually Entitled To

Deductions reduce your taxable income. As a PhD student, you may qualify for some specific deductions, though you should be careful not to claim ones you don't meet.

The standard deduction vs. itemizing:

Most single PhD students will take the standard deduction (\$14,600 for 2024). Itemizing only makes sense if your deductible expenses exceed that threshold—which usually means significant mortgage interest, state/local taxes, charitable contributions, or medical expenses.

Above-the-line deductions (you take these even if you take the standard deduction):

- **Student loan interest:** If you paid interest on qualified education loans, you can deduct up to \$2,500 on line 21 of Schedule 1. This is an above-the-line deduction.
- **Educator expenses:** If you worked as a TA or instructor, you may be able to deduct up to \$300 in out-of-pocket classroom expenses. This is above the line but only if you have educator income.
- **Moving expenses for Armed Forces:** If you relocated due to military orders, you can deduct moving costs. Most PhDs don't qualify.

If you're self-employed (rare for PhDs, but possible on some grants):

- You might qualify for the self-employment tax deduction (half of your SE tax on Schedule 1, line 15)

- Business expenses for your work (home office, equipment, supplies) go on Schedule C

What you probably can't claim as a PhD student:

- "Education expenses" in the traditional sense (tuition, fees, books for coursework) are not deductible unless you're taking courses as part of a degree program and meeting other conditions. The old "education deduction" was largely eliminated by the TCJA.
- Lifestyle expenses (rent, food, transportation) are never deductible.

Actionable step: Review the above list. If you paid student loan interest, gather your 1098-E from your loan servicer. If you had educator expenses, gather receipts. If you're self-employed, organize your business expense receipts. Don't claim deductions you don't have documentation for—the IRS doesn't require supporting documents when you file, but they can ask for them later.



Key Takeaway for Part III:

Your W-2 wages go on your 1040, and you add them to any other income streams you have. Multiple W-2s just mean you add the amounts together. You can claim a few specific deductions (student loan interest, educator expenses), but most PhD students take the standard deduction and don't itemize.



Part IV: Special Situations and Putting It All Together

Not every PhD fits neatly into the categories above. This section addresses the situations that apply to some readers but not others, and then walks you through the final steps of actually filing your return.

Chapter 10: International Students—Your Specific Requirements

If you're on an F-1, J-1, or other non-resident visa, you've been reading along and thinking "okay, but what about me?" Here it is.

Your fundamental tax status: You are a non-resident alien for federal tax purposes unless you've met the substantial presence test or applied for and received a green card. Being a non-resident alien means you file Form 1040-NR (not the regular 1040), though many PhD students can use the regular 1040 if they meet the exceptions for students and exchange visitors.

The physical presence test: If you were in the US for fewer than 183 days during the year and can claim a tax treaty exemption, you might not owe US tax at all—but you still may need to file.

Your filing requirements: As a non-resident alien student, you must file if:

- You received any US-source income (wages, fellowship, etc.), or
- The IRS requires you to file based on your status

Even if you had no taxable income, you likely need to file Form 8843 (covered in Chapter 6) to establish your status.

Step 1: Determine whether you file 1040 or 1040-NR.

If you had W-2 wages as an employee, you can generally file the regular 1040 using the "dual-status" or "non-resident alien who can use 1040" rules. If you only had fellowship income, you may

need to file 1040-NR. Consult your institution's international student office—they often have tax resources specifically for F-1/J-1 students.

Step 2: File Form 8843.

This is non-negotiable for most international PhD students. See Chapter 6.

Step 3: Check your state's requirements.

States have their own rules for non-resident alien filing. Some states require non-resident alien filers to file state returns even if federal filing isn't required. Look up your state's requirements.

Step 4: Don't forget the FBAR if applicable.

If you have a foreign bank account (common for international students who keep an account in their home country) with more than \$10,000 at any point during the year, you must file FinCEN Form 114 (FBAR). This is separate from your tax return and has its own deadline (April 15, with automatic extension to October 15).

Actionable step: Contact your institution's international student services office and ask what tax forms they recommend for your situation. Most universities with significant international student populations offer free tax filing support through organizations like Sprintax or Glacier. Use those resources—they understand your situation.



Chapter 11: The Mistakes PhDs Make (and How to Avoid Them)

Tax filing goes wrong in predictable ways for graduate students. Here's a list of the most common errors and how to sidestep them:

Mistake 1: Reporting fellowship as wages.

This happens when students see money in their account and assume it's "income" that needs a W-2. If your fellowship is tax-free, you don't report it as wages. You don't report it at all. Including it incorrectly can create phantom income and trigger notices.

Mistake 2: Using the 1098-T as income documentation.

The 1098-T is not your income statement. It's about tuition and fees. Using it to report fellowship income is one of the top errors the IRS sees from graduate students.

Mistake 3: Forgetting to file Form 8843.

International students often skip this because they don't understand it. 8843 is required—it just doesn't do anything except confirm your status. Missing it doesn't create a tax liability, but it can cause processing delays and trigger correspondence.

Mistake 4: Not checking state filing requirements.

Many students focus entirely on federal taxes and forget about their state. If you worked in a state, you likely need to file there. Some states have very simple returns for low-income filers; others are more complex. Don't skip it.

Mistake 5: Missing the filing deadline.

If you can't file by April 15, you can get an automatic six-month extension (Form 4868). This extends your filing deadline, not your payment deadline—if you owe tax, you still need to pay by April 15 to avoid penalties and interest. Extensions are free and easy to request online.

Mistake 6: Filing a paper return when you don't need to.

Electronic filing is faster, more accurate, and less likely to get lost. The IRS processes e-filed returns in days; paper returns can take months. Use tax software or a tax professional.

Actionable step: Before you finalize your filing, run through this checklist:

- ☐ Fellowship classified as taxable or tax-free
- ☐ Taxable fellowship on Schedule 1, line 8

- ☐ W-2 wages on Form 1040, line 1z
- ☐ 1098-T used appropriately (not as income documentation)
- ☐ Form 8843 filed (if international student)
- ☐ State return planned (if applicable)
- ☐ Extension filed (if needed) by April 15



Chapter 12: Your Filing Checklist and Next Steps

Here's everything you need to do, in order:

1. Gather your documents (by early March):

- ☐ Your 1098-T from your institution
- ☐ Your W-2(s) from payroll
- ☐ Your fellowship award letters
- ☐ Bank statements showing deposits
- ☐ Any 1098-E for student loan interest
- ☐ Form 8843 (if international)

2. Classify your income (Chapter 1):

- ☐ Every deposit assigned a source type
- ☐ Dollar amounts noted

3. Determine fellowship taxability (Chapter 4):

- ☐ Award letter reviewed
- ☐ Taxable/tax-free decision made and documented

4. Prepare your return:

- ☐ Federal return: Form 1040 with Schedule 1 if needed
- ☐ W-2 wages: line 1z
- ☐ Taxable fellowship: Schedule 1, line 8
- ☐ Deductions claimed (student loan interest, educator expenses)

- ☐ State return if applicable
- ☐ Form 8843 attached (if international)

5. File:

- ☐ Electronically (recommended)
- ☐ By April 15, or request an extension by April 15

6. Keep records:

- ☐ Copy of filed return
- ☐ Copies of all supporting documents
- ☐ Keep for at least 3 years (IRS has 3 years to audit from filing date)



Key Takeaway for Part IV:

Your filing status, visa type, and income sources determine which forms you need. International students almost always need Form 8843. Everyone needs to classify their income correctly and avoid the common mistakes. Use electronic filing, meet the April 15 deadline (or file an extension), and keep copies of everything.



Conclusion: You Can Do This

Let's bring it all together.

PhD tax filing is weird. You're dealing with income streams that don't fit neatly into standard categories, forms that were designed for people with normal jobs, and documentation that doesn't quite match reality. It's understandable that this feels overwhelming.

But here's the truth: once you understand the framework, it's manageable. Every dollar goes somewhere. Every form has a purpose. And you don't need to be a tax expert to file correctly—you just need to understand your own situation well enough to enter the right numbers in the right places.

The framework you've just learned works like this:

- 1. Classify every dollar** you received by source type
- 2. Determine taxability** of your fellowship using the primary-purpose test
- 3. Report correctly:** wages on the 1040, taxable fellowship on Schedule 1, tax-free fellowship nowhere
- 4. File Form 8843** if you're an international student
- 5. Check your state** if you worked in one
- 6. File on time** or request an extension

That's it. That's the whole thing.



Your next step:

Go back to Chapter 1. Start building your income classification worksheet. Pull your bank statements, find your forms, and start putting numbers in columns. You don't need to have everything figured out before you start—you just need to start.

This guide gives you the framework. Your specific numbers, your specific forms, and your specific situation are what complete the picture.



A note on the companion resource:

The Action Checklist (the companion PDF that accompanies this guide) is designed to walk you through these steps in a printable, checkbox format. It's the tool to use when you're actually doing the

work—print it out, go through it sequentially, and check items off as you complete them. This guide teaches you *why*; the checklist moves you through *what to do next*.

Use both together. That's the system.



One last thing:

If your situation is genuinely complicated—multiple grants, unusual funding structures, international status with complex treaty issues—consider visiting a tax professional. Not a chain like H&R Block; look for a CPA or enrolled agent who has experience with graduate students or nonprofit/educational institutions. The cost of professional help is often less than the cost of an IRS notice.

For everyone else: you've got this. Start with Chapter 1.



This guide is for informational purposes and does not constitute tax advice. Tax laws change, and your specific situation may warrant professional guidance.